

7/6 – Introduction to Finance, Corporate Budgeting, Revenue Overview & TAM

Introduction to Finance

Speaker: Brad Cook, Controller

What Finance and Accounting Cover

- Finance and accounting are often described simply as managing the money for a company, but the scope is much broader than that
- **Accounting** is the tracking side, meaning it looks backward; it involves recording revenue and expenses, building balance sheets, and building income statements
- **Finance** is the forward-looking side, meaning it uses those accounting numbers to project the business forward, track performance, and plan for future results
- At small companies, finance and accounting often blend into one department, even though at large corporations they may be handled by separate, more specialized teams
- Finance also touches areas that are not purely numbers focused, such as legal risk, contracts, strategy, business development, and key partnerships
- At small companies, one finance leader may oversee many functions at once, including contracts, legal support, and even areas like marketing or HR, since there is not always a dedicated department for each

Key Components of Corporate Finance

- **Strategy** – includes pricing decisions, acquisitions and mergers, partnerships, new ventures, growth opportunities, and positioning; also includes decisions about cost reduction and how to allocate resources
- **Financial operations** – this is the accounting piece, meaning closing the books each month and producing balance sheets and income statements
- **Reporting** – results must be reported upward to management and to a board of directors; public companies also have to complete earnings releases
- **Compliance and legal** – ensures financial statements are compliant with accounting standards such as GAAP, and that tax filings are accurate and timely
- **Accounting reporting** – includes the monthly close process, which covers payables (money owed to vendors) and receivables (money owed by customers)
- **Payables** – the process of paying for the things a business needs to run, such as software, consultants, advertising, and events
- **Receivables** – the process of billing customers and collecting payment for goods or services sold
- **FP&A (Financial Planning and Analysis)** – the forward-looking analysis and strategy side of finance
- **Treasury** – tracking cash and making sure the company stays in the best possible cash position
- **Capital budgeting** – the annual budgeting cycle, where finance works with every department head to plan staffing, pay increases, software needs, and events for the coming year
- **Risk management** – historical examples such as Enron, WorldCom, Lehman Brothers, and Bear Stearns show what happens when companies try to maximize value without properly managing risk and regulation; these cases involved illegal activity and misrepresentation that led to major financial collapses
- The overall goal of finance is to maximize the value of the business while minimizing risk, and

this happens through a cyclical process of efficient financial operations and resource planning

The Monthly Close Process

- The monthly close is the process of reviewing everything that happened in the prior month before moving forward
- All revenue earned during the month must be recorded, and all expenses incurred must be reported
- Once the books are closed and confirmed complete, the company can then produce reporting based on those final numbers
- Only after the accounting for the past is done can finance move on to forward-looking work, such as updating models, running analysis, and building projections

Personal Budgeting Exercise

- Before diving into corporate finance, the session started with a personal budgeting exercise to build intuition, since the same core concepts apply to both personal and corporate finance
- **Income or revenue** – these terms are often used interchangeably; common sources of personal income include a primary job (W-2 income), a side hustle or secondary employment, investments such as the stock market, and real estate or rental income
- **Expenses** – common categories include a car payment, rent or a mortgage, insurance, tuition or schooling costs, utilities, groceries, and subscriptions
- **Fixed expenses** – these are the expenses that do not go away, such as rent, utilities, and insurance; they may vary somewhat in amount, but they are always present
- **Discretionary expenses** – these are expenses with more flexibility, such as groceries or entertainment, where a person has more control over how much they spend
- Building awareness of a personal budget early sets a person up for future financial success, and it becomes especially important as income and expenses grow after college
- Each participant was asked to build a simple personal budget for a future point in their life, including a primary job, income sources, fixed expenses, and discretionary expenses

Corporate Budgets and Concepts

Speaker: Brad Cook, Controller

Connecting Personal Budgeting to Corporate Finance

- The personal budgeting exercise is essentially a small version of what corporate accounting and finance does at a larger scale
- Just like a person needs to know where their income comes from, a company needs to know its revenue streams, how many customers it has, and what those customers have purchased
- Just like a person tracks personal expenses, a company tracks expenses such as software, subscriptions, trade shows, conferences, advertising, and people costs
- **People costs** are typically one of the largest expenses for a company, since they include salaries, commissions, and bonuses
- Once accounting is done consistently on a monthly basis, a company builds a reliable set of financial statements, which then allows it to strategize, plan, and budget effectively
- Over time, doing the accounting consistently builds a strong sense of what to expect each month, so unusual or unexpected items stand out more easily

Types of Corporate Expenses

- **Fixed expenses** – for a company, this includes salaries, benefits, 401k matching contributions, payroll taxes, and corporate taxes; these costs are largely unavoidable

- **Variable expenses** – costs such as advertising can vary; for example, a company may spend heavily on an annual customer conference to build relationships and grow its sales pipeline
- **One-off expenses** – unplanned costs, such as an unexpected repair, are treated similarly to how a household plans for a large surprise cost like a broken air conditioner; setting money aside in advance helps absorb these events without disrupting the overall budget
- Understanding the difference between fixed, variable, and one-off expenses helps a company plan its budget realistically instead of assuming spending will stay flat every month

The Corporate Budgeting Process

- A budgeting model for a full fiscal year is typically built months in advance; for example, planning for a given year can start in the fall of the previous year
- The process involves working with department heads on revenue projections, expense projections, and any new product forecasts
- Once the annual budget is finalized, the company continues to review it quarterly, closing the books each quarter and comparing actual results to what was originally forecasted
- If circumstances change, such as a new product facing early technical challenges, the forecast is adjusted to reflect the updated timeline, even if the original plan was carefully built
- Adjusting a forecast during the year does not mean the original planning was wasted; it means the company is staying informed and building a more accurate picture over time
- The overall process can be summarized in three steps: close the books, involve every department, and align the plan to company strategy
- A well-known idea that applies here is the quote from Dwight Eisenhower, which states that plans are useless but planning is indispensable, meaning the exact plan may change but the discipline of planning is what creates value

Personal Budgeting Guidance

- The 50-30-20 rule is a common budgeting guideline, meaning roughly 50 percent of income goes to needs, 30 percent goes to wants, and 20 percent goes to savings or debt repayment
- Within the needs category, it is generally recommended to keep housing costs, such as rent or a mortgage, to around 30 to 35 percent of income or less
- Reaching a 20 percent savings rate is a strong goal, though it may not be realistic early in a career; it becomes more achievable as income grows over time
- Starting retirement contributions early makes a significant difference over time due to the time value of money, meaning money invested earlier has more time to grow
- Only about 59 percent of American adults have money invested in a retirement plan, compared to about 81 percent of college graduates, showing that awareness and access make a meaningful difference
- Automating retirement contributions, sometimes described as set it and forget it, removes the friction of having to manually save each month

Why Corporate Budgeting Is More Complex

- Corporate budgeting involves significant collaboration across many people and departments, which adds complexity that personal budgeting does not have
- Every department head may have a different level of financial knowledge, so communicating the budgeting process clearly and consistently is a major challenge
- Missing information from a department, even if unintentional, can lead to unexpected costs or issues later on
- Financial models used at the corporate level can be very large and complex, often built as spreadsheets with many tabs and formulas, which makes errors harder to track down

- Despite the complexity, going through a thorough and collaborative budgeting process consistently produces better results and stronger working relationships across departments

Revenue Overview

Speaker: Brad Cook, Controller

Components of Revenue

- Revenue and income are the same concept, just described differently depending on context
- **Customer base** – includes the total available market, meaning all potential customers, as well as the company’s existing customer base
- **Retention and churn** – retention refers to the percentage of customers that stay, while churn refers to the percentage of customers that are lost each year; both are important metrics for projecting revenue
- **Pricing strategy** – includes decisions about how much to charge and how much to increase prices each year, similar to how subscription services such as streaming platforms raise prices over time
- **Timing and seasonality** – revenue does not always come in evenly throughout the year; understanding when cash is expected to come in is essential for accurate forecasting
- **Sales team performance** – includes sales team productivity, sales cycle length, and pipeline, which refers to the potential deals that have not yet closed
- **Close rate** – the percentage of pipeline that actually converts into revenue; for example, if a company has one million dollars in pipeline and closes 30 percent of it on average, the expected revenue from that pipeline is around 300,000 dollars
- **Customer segments** – understanding the market in detail, such as domestic versus international customers, differences in organization size, or differences in funding source, helps refine buying process assumptions

Seasonality Example

- Many businesses experience predictable spikes and slow periods in revenue based on their customer base
- For a business that sells primarily to higher education institutions, most customers operate on a fiscal year that runs from July through June rather than a standard calendar year
- Because of this, invoices are often sent about 60 days before a customer’s subscription begins, creating a large billing spike in a specific month each year
- Understanding these predictable patterns is essential for accurate cash flow forecasting, since revenue recognized on the books does not always match when cash is actually received

Building a Revenue Forecast

- A revenue forecast typically starts with the existing customer base, meaning the current contracted revenue at the start of the year
- New bookings are added based on expected sales team performance
- Pricing increases are layered on top of the existing base, often in the range of a few percentage points per year
- Expected churn is subtracted, based on historical data and input from company leaders about market conditions
- Combining these pieces, meaning the existing base plus pricing increases plus new bookings minus churn, produces the ending revenue projection
- If new bookings consistently outpace churn, the business grows over time; this combined effect is sometimes referred to as net retention

Revenue Build Exercise

- Interns were asked to imagine their own product as a business and build a simple revenue forecast for a future year
- The exercise required thinking through the number of new and existing customer units, the price for each unit, a reasonable renewal price increase, and an appropriate churn rate for the product and industry
- Participants also had to account for service revenue, such as implementation or training fees, in addition to product revenue
- A key theme from the discussion was to avoid frequent or unpredictable price increases, since customers can experience what was described as price whiplash if increases happen too often or without warning
- Whether frequent price increases make sense depends heavily on the type of product and price point; a lower-cost product may tolerate more frequent adjustments than a high-cost enterprise product
- Renewal price increases are typically set in advance and communicated clearly to customers, which helps a company cover rising costs, keep up with inflation, and continue growing while maintaining trust with its customer base
- Businesses with strong customer loyalty and low churn rates can grow steadily even with modest annual price increases, since the growth from pricing alone can outpace a low churn rate

TAM & Expense Overview

Speaker: Brad Cook, Controller

Total Addressable Market (TAM)

- **Total addressable market (TAM)** refers to the total market demand for a product or service; it represents the greatest amount of revenue a business could generate if it captured the entire market
- Companies often use industry research firms, such as Gartner or Forrester, along with industry-specific data providers, to estimate the size of their market
- Understanding TAM matters beyond corporate finance as well; anyone running or starting a business needs to know their market size, since even a great product cannot sustain a business if the potential customer base is too small
- There are three common approaches to calculating TAM
- **Top-down approach** – start with the total number of potential customers in an industry, then narrow it down using factors such as geography or demographics until reaching the target market
- **Bottom-up approach** – start with an initial, smaller set of target customers, then project those results out across the broader industry
- **Value theory approach** – used less often, typically for new or unique products where there is no existing market data; this approach estimates what a willing buyer would pay for the product, then multiplies that by the total number of potential buyers

TAM Estimation Exercise

- As a live example, interns worked through estimating a TAM for a hypothetical higher education software product
- The exercise started at the macro level, meaning the total number of colleges and universities in the target market, broken into domestic and international institutions

- From there, the market was narrowed further using characteristics that separate institutions from one another, such as public versus private status, two-year versus four-year programs, degree offerings, enrollment size, and geography
- Average revenue per customer unit was then multiplied by the estimated number of potential institutions to produce a rough total market size
- Applying a modest market share assumption, such as 5 percent, to that total market size gives a sense of what a realistic revenue target could look like
- This kind of estimate does not account for competition or resistance to entering the market, but it is still useful for understanding the size of the opportunity that exists
- As a company sells to more and more of its addressable market over time, it becomes harder to keep finding new customers within that same pool, which is why TAM should be revisited and updated regularly

Understanding Expenses

- Revenue alone does not tell the full story of a business; a company must also understand what it costs to support that level of revenue
- **Cost of sales** (also called cost of goods sold) – the direct costs required to produce and deliver a product or service; without these costs, the product or service could not be sold
- **Gross profit or gross margin** – calculated as revenue minus cost of sales; this represents what a company can expect to earn on each unit sold before considering any other business costs
- **Operating expenses** – the costs required to run the rest of the business beyond producing the product itself; these do not affect gross margin, but they still affect overall profitability
- Common operating expense categories include sales, marketing, finance, human resources, executive leadership, product, and engineering
- Even a strong gross margin does not guarantee a profitable business if operating expenses are too high relative to revenue

Categories of Operating Expenses

- **People** – typically the largest operating expense category for a company; includes salaries, commissions, and bonuses
- **Marketing** – includes advertising, campaigns, and costs to acquire customers, such as trade shows and conferences
- **Facilities** – includes office space, utilities, and related costs; even fully remote companies may have some facilities-related costs, such as a virtual mailbox or occasional in-person company events
- **Software and subscriptions** – the tools needed to run the business, such as video conferencing, messaging platforms, accounting software, and billing systems
- **Travel** – costs related to client visits, conferences, or internal team gatherings
- **Equipment** – physical items needed to run the business, such as computers
- **Research and development (R&D)** – the cost of developing and improving products; this is often made up of the software, subscriptions, and people costs tied to a product and engineering team, rather than being its own separate category

Expense Build Exercise

- Interns were asked to build a hypothetical team roster to support the revenue level they had projected earlier, broken down across departments such as support, client success, professional services, sales, marketing, general and administrative (G&A), executives, and product and engineering

- Building a team roster requires thinking through the number of employees needed in each department, appropriate salary levels based on factors like cost of living, and an appropriate benefits percentage
- This exercise mirrors how a real company plans its annual budget, since employee costs are typically the single largest expense category for a business

7/7 – TAM & Expense Overview II, Financial Statements, Operations & AI in Finance

TAM & Expense Overview II

Speaker: Brad Cook, Controller

Reviewing the Team Roster Exercise

- Teams presented the employee rosters they built, including salary levels, bonus structures, and benefits percentages for each department
- **Benefits and payroll taxes** – when evaluating a benefits percentage, it is useful to also factor in mandatory payroll taxes, since employers are required to contribute a set percentage toward Social Security and Medicare on top of an employee's earnings each year
- Large differences in benefits percentages between employees at the same company are unusual and worth double-checking, since most companies apply fairly consistent benefits rates across their workforce
- Bonus or commission structures can vary widely and often increase at higher levels of seniority, such as a vice president earning a higher bonus percentage than an analyst; this reflects how most companies structure compensation as employees move up
- Splitting a team exercise into individual sections can be efficient, but it also highlights why collaboration matters in real budgeting; working through numbers together as a group often produces a more balanced and realistic result than one person working alone

Other Operating Expense Categories in Detail

- **Cost of living adjustments** – for a company with employees spread across many locations, pay is often adjusted somewhat based on the cost of living in each area, especially for in-person roles in expensive cities
- **Marketing spend** – the right amount and type of marketing spend depends on the nature of the business; a business-to-business company selling to a narrow, specific audience may rely more on targeted efforts, such as industry trade shows, rather than broad advertising
- **Facilities** – a company without a physical office may still have related costs, such as an annual company gathering that replaces the connection-building purpose of shared office space
- **Software and subscriptions** – often one of the largest expense categories after people costs, since a company typically needs many different software tools to support sales, service delivery, accounting, billing, and payroll functions
- **Travel, equipment, and research and development** – these can vary significantly depending on the type of business; a services-heavy business may have more travel costs, while a product-heavy business may have larger research and development needs

Building Out the Full Expense Model

- After building the employee roster, interns completed a second round of expense planning covering all other cost categories, such as software, travel, equipment, and marketing, for each department

- Assigning a vendor or description to each expense line, rather than just a generic category, makes an expense budget more detailed and realistic
- Combining the employee cost tab with the other expenses tab produces a complete picture of what it costs to run each department in a business
- Reflecting on the exercise, interns noted that general and administrative costs and engineering costs tend to grow significantly as a company scales, while sales and marketing spending tends to depend more on company strategy and goals

Bringing Revenue and Expenses Together

- Once revenue and expense figures are complete, they come together into a single income statement, which shows the full financial picture of the business
- Comparing two separate groups working through the same exercise can produce very different financial outcomes, even when both groups approached the process seriously; this shows how sensitive a financial model is to the assumptions built into it
- A business with a very healthy gross margin might still be under-resourced in other expense categories, while a business with strong staffing and expense planning might show a much lower or negative overall margin
- Building a budget without input from other departments and leaders tends to produce faster results, but those results are usually far less accurate than a budget built collaboratively with input from the people closest to each part of the business

Financial Statements

Speaker: Brad Cook, Controller

The Three Core Financial Statements

- **Income statement (also called a profit and loss statement or P&L)** – shows activity over a period of time, such as a month, quarter, or year; it reports revenue, cost of sales, gross margin, operating expenses, and the resulting profit or loss for that period
- **Balance sheet** – a snapshot of the business at a single point in time, similar to a personal net worth calculation; it shows assets minus liabilities and equity, which together indicate the financial health of the business at that moment
- **Cash flow statement** – adjusts the income statement to show what is actually happening with cash, since the timing of revenue and expenses on the books does not always match when cash is actually received or paid; for example, a sale made on payment terms may be recorded as revenue before the cash is collected
- These three statements together are considered the core financial package for any business, regardless of size or industry

EBITDA and Key Profitability Metrics

- **EBITDA** stands for earnings before interest, taxes, depreciation, and amortization; it removes accounting items that can distort the true operating performance of a business
- EBITDA is considered one of the strongest indicators of the long-term operating health of a business, since it reflects the profit or loss generated purely from running operations
- **Operating margin** is closely related to EBITDA and is often used interchangeably with it as a measure of how efficiently a business is running
- For software businesses specifically, a gross margin of 80 percent or higher on the software product line is generally viewed as a strong benchmark

Variance Analysis

- **Budget versus actual analysis** – compares what was planned in the annual budget to what actually happened, helping a company understand and explain differences as they occur throughout the year
- **Flux (fluctuation) analysis** – compares two periods against each other, such as the current month versus the prior month, or the current month versus the same month one year earlier
- Reviewing variances regularly, even down to a fairly small dollar threshold, helps a finance team catch unexpected changes early and understand the reasons behind them
- Common reasons for variances include higher or lower than expected sales activity, unplanned travel or spending, new hires, one-time costs, or a change in revenue timing

Additional KPIs and Metrics

- **Annual recurring revenue (ARR)** – the annualized value of all current customer contracts; it is often tracked through an ARR roll-forward, which shows the starting ARR for a period, new sales, upsell, churn, downsell, and net expansion from renewal price increases
- **Customer acquisition cost (CAC) and CAC payback** – CAC is what it costs to acquire a customer; CAC payback measures how long it takes for the margin generated by that customer to cover the original acquisition cost
- **Customer lifetime value** – an estimate of the total value a customer is expected to generate for a business over the life of the relationship
- **Rule of 40** – a common benchmark used by investors, calculated by adding a company's annual revenue growth percentage to its profit margin; a combined score above 40 is generally viewed as a sign of healthy, effective growth
- **Burn rate and cash runway** – burn rate is how much cash a business is using each month; cash runway is how long the business can continue operating at that burn rate before running out of cash; these are especially important metrics for newer or high-growth businesses that are not yet profitable
- **Working capital metrics** – includes measures such as days sales outstanding, which tracks how long it takes a company to collect payment after a sale

Why Understanding Finance Matters Beyond the Finance Team

- Employees outside of finance who understand basic financial concepts, such as pricing, margins, and budgeting, tend to advance more quickly in their careers
- Understanding finance is not required to be successful in other departments, but it gives professionals in any role an additional tool for making better decisions and communicating with leadership
- Leaders who can connect their department's work to the broader financial picture of the business tend to have a more complete view of how to lead effectively

Finance Operations

Speaker: Brad Cook, Controller

Core Finance Systems

- A company's accounting software serves as the central source of truth for all of its financial transactions and is where official financial statements are generated
- Sales activity is typically tracked in a customer relationship management (CRM) system, where sales teams manage leads, opportunities, and closed deals
- Revenue and billing software is used to record revenue and generate customer invoices once a deal closes

- Payroll software manages employee pay, while accounts payable platforms are used to pay vendors, and corporate card platforms are used to manage company spending and employee expense reimbursements
- Modern finance systems are commonly connected to each other through automated integrations, meaning data flows between systems automatically rather than requiring manual entry in multiple places; this is a relatively recent shift compared to older, fully manual processes

Sales and Accounts Receivable (AR) Cycle

- When a new sale is closed in the sales system, the deal details automatically flow into the billing system, where the revenue is set up and an invoice is generated for the customer
- For multi-year contracts, all future years of invoices and revenue can be scheduled in advance, so they generate automatically on the correct future dates
- A welcome process for new customers may include setting up their access to the product and sending confirmation of their invoice and account details
- **Invoice terms** – common terms include a set number of days for a customer to pay after receiving an invoice, sometimes with a discount incentive for paying earlier; for annual subscription renewals, invoices are often sent well in advance of the renewal date so payment is collected before the new service period begins
- Collecting payment upfront, before service is fully delivered, is a smart way for a business to manage its cash flow, since it reduces the risk of providing services without being paid
- Incoming payments are matched to their corresponding open invoices to close out that balance, which is a routine daily process rather than something done all at once at the end of the month
- **Collections** – past due invoices are a normal part of doing business; common reasons include disorganization on the customer's side, missing required information on an invoice, budget cycle timing, genuine service disputes, or financial difficulty on the customer's end
- If a customer does not pay and does not communicate after a significant period of time, a company may pause the customer's access to its product or service, since most contracts allow for this if payment is significantly overdue

Accounts Payable (AP) and Expense Cycle

- The accounts payable process is the reverse of the accounts receivable process; instead of collecting money from customers, a company is paying its own vendors
- Onboarding a new vendor typically involves collecting basic company information, tax documentation, and banking details before they can be paid
- Incoming vendor invoices are typically reviewed and routed through an approval process, often starting with the department stakeholder most closely tied to that expense, followed by a finance review, and a final approval before payment is released
- **Employee expenses** – companies typically have an expense policy that outlines requirements such as when a receipt must be provided and what expense categories should be used; expenses are usually reviewed and approved by a manager before being finalized
- Expense management platforms can flag unusual transactions automatically, such as unusually large purchases or spending in a category that does not fit typical business use, which helps a finance team focus its review time more efficiently

AI in Finance

Speaker: Brad Cook, Controller

The Shift in AI Adoption

- Awareness and adoption of AI tools in finance have grown rapidly over a short period of time, shifting from viewing AI as a joke or a novelty to actively incorporating it into daily finance workflows
- Finance as a business function has historically had relatively low adoption of AI for actual workflows compared to some other departments, even though overall awareness of AI has become mainstream
- The current trend in finance is best described as a human plus AI workflow, meaning AI supports tasks such as data preparation, reconciliation, and identifying outliers, while people remain responsible for interpretation and final decisions

Where AI Adds the Most Value in Finance

- **Automating repetitive tasks** – includes data entry, invoice matching, reconciliations, and other routine steps in the accounts receivable and accounts payable cycles
- **Forecasting and financial planning support** – AI can significantly speed up the process of building and adjusting financial models, though it still requires careful human review
- **Real-time monitoring** – AI can help monitor for unusual or potentially fraudulent activity, especially for businesses with a high volume of transactions
- **Knowledge and research support** – AI can be used to quickly research complex or unfamiliar topics, such as tax or compliance questions in a new market, helping narrow down the right questions to ask before consulting outside experts

Limitations and Responsible Use of AI in Finance

- AI tools can make significant mistakes, especially with complex reasoning, calculations, or detailed modeling tasks, and they will not always indicate when an answer is incorrect
- AI-generated work should always be reviewed and validated by a person, rather than trusted automatically, particularly for anything involving specific numbers, calculations, or financial modeling
- Providing clear context and specific instructions produces much better results than vague or open-ended prompts, especially for detailed, multi-step tasks
- Data literacy, meaning the ability to review and validate AI-generated output, is becoming a baseline skill for finance professionals rather than an optional one
- AI tools are useful for structuring general categories or providing a starting framework, but specific figures, calculations, and detailed assumptions still require careful double-checking by a person

7/8 – Introduction to HR & Onboarding

Introduction to HR

Speaker: HR Team

HR as People and Culture

- The HR function is often referred to internally as People and Culture, reflecting a focus on fostering a positive environment for employees rather than only protecting the company
- HR touches nearly every part of the employee experience, including recruiting and hiring, onboarding and development, training and career pathing, employee relations, compensation and benefits, performance management, and legal and compliance
- **Compensation and benefits** – HR plays a large role in setting salaries, choosing compen-

sation structures, ensuring pay equity, selecting health benefits and retirement plans, and continuously benchmarking pay against the market

- **Performance management** – HR helps ensure that managers are having regular, documented performance conversations with employees, rather than only raising issues after they have already become serious
- **Legal and compliance** – HR ensures the company follows labor laws, maintains proper records, and manages risk appropriately

Common Misconceptions About HR

- **Myth: HR only exists to protect the company, not employees** – this is false; HR aims to create fair conditions where both the company and employees can succeed
- **Myth: HR sets the culture** – this is false; culture is shaped by everyone in the company, though HR does play a role in hiring for cultural fit
- **Myth: bringing an issue to HR will get you in trouble** – this is false; HR is meant to be a resource that employees can feel safe using to raise concerns

The Hiring Process

- **Defining the need** – before hiring begins, a company must confirm that a role is truly needed, often through a job analysis to ensure the department is not already at full capacity
- **Sourcing candidates** – once a job description is finalized and posted, candidates are sourced through platforms such as job boards and professional networking sites
- **Screening and interviewing** – this typically starts with an initial phone screen focused on cultural fit and alignment on expectations, followed by one or more rounds of interviews, which may include the hiring manager, a team, or a panel
- **Reference and background checks** – once a candidate is selected, reference checks are completed, and employment eligibility is verified
- **Offer and onboarding** – a formal offer is extended and negotiated, and once accepted, the onboarding process begins, which continues well beyond the employee's first day
- Companies can only legally hire in states where they are registered to do business, since operating in a new state can involve significant cost and administrative requirements

What Employers Look for in Candidates

- **Skills match** – both hard skills, meaning the technical requirements of the role, and soft skills, meaning communication and interpersonal ability, are evaluated
- **Coachability** – some managers specifically look for candidates who are newer to the workforce and open to being coached, rather than candidates with deeply set habits from a very different work environment
- **Cultural fit** – this means assessing whether a candidate's values and expectations align with how the company actually operates, such as its pace of work
- **Communication** – this is assessed from the very first interaction, including response time, professionalism in emails, and how a candidate answers the phone
- **Reliability signal** – following through on stated commitments, such as being available for a scheduled call, is viewed as an early indicator of dependability
- **Genuine interest** – candidates who have researched the company and ask thoughtful, role-specific questions stand out compared to candidates who appear to be applying broadly without real interest

Resume and Interview Guidance

- Recruiters often spend only a few seconds initially scanning a resume, so quantifying achievements with specific numbers helps a resume stand out quickly
- AI tools can be useful for turning general job descriptions into quantified accomplishments, and for comparing a resume against a specific job posting to identify strengths and gaps
- Tailoring a resume to closely match a specific job description, rather than using one generic resume for every application, improves the chances of standing out
- Keeping multiple tailored versions of a resume for different types of roles can save time compared to rewriting a resume from scratch for each application
- Certain questions are best avoided early in an interview process, such as asking what the company does, how quickly someone can be promoted, or how quickly someone can take vacation, since these can signal a lack of genuine interest in the specific role
- Questions about benefits or compensation are appropriate later in the interview process, but not typically in an initial conversation

Onboarding

Speaker: HR Team

The 30-60-90 Day Framework

- **Days 1 through 30 (learning phase)** – new employees are expected to focus on listening, learning names, understanding how the company and its products work, and getting comfortable with the team, rather than trying to change existing processes
- **Days 31 through 60 (contributing phase)** – employees begin taking ownership of tasks, identifying quick wins, building relationships across the company, and getting clarity on how success is measured in their role
- **Days 61 through 90 (leading phase)** – employees are expected to move from waiting for direction to taking ownership and helping move their area of the business forward
- New employees should have a conversation with their manager within their first week to align on expectations and how their growth will be measured over these three phases
- Even though a new employee brings a valuable fresh perspective, the recommended approach is to observe and ask questions first, and only start making recommendations for change once there is a solid understanding of how things currently work
- Building relationships outside of one's own department, especially in a remote environment, is an important part of a successful first 90 days

Behind the Scenes During Onboarding

- Once an offer is signed, several processes begin at the same time, including a background check, submission of an IT equipment and account setup ticket, and preparation of payroll and benefits systems
- **I-9 verification** – new employees must provide identification within their first three days of employment to verify they are legally authorized to work
- **Benefits enrollment window** – new employees typically have 30 days from their hire date to make benefit elections; missing this window usually means waiting until the next open enrollment period
- Managers are typically coached in advance on the 30-60-90 day framework and given a structured check-in schedule to follow with the new employee
- New hire paperwork and compliance forms, including state tax documents, are usually completed electronically before or shortly after the employee's start date

Employee Relations Scenarios

- Working through hypothetical workplace scenarios is a useful way to think about how to handle sensitive situations as a new employee
- If an employee accidentally overhears an inappropriate comment from a manager, a reasonable first step is to note it privately rather than immediately confronting anyone, and to raise it with a manager or HR if it becomes a repeated pattern rather than a one-time incident
- Overhearing something without intending to does not change whether it is appropriate to raise, especially if it was said somewhere others could reasonably hear it
- If a coworker asks another employee to cover for them in a way that involves being dishonest, it is reasonable to decline clearly but respectfully, without becoming personally responsible for managing that coworker's performance
- Allowing a policy violation to continue unaddressed can create risk of unequal treatment later, since addressing only one employee for behavior that multiple employees were doing can create the appearance of unfair or inconsistent treatment
- Conversations with HR are generally treated as confidential, but if a shared concern is serious enough, HR may need to escalate it, and a good HR professional will typically let the employee know before doing so

Homework Assignments

- **Assignment one** – as a team, build a 30-60-90 day plan, either from the perspective of a new employee or from the perspective of a company building out expectations for a new hire
- **Assignment two** – individually research a specific target job title and location, including base salary, bonus or variable pay, health insurance type, and 401k match, using resources such as job boards, salary comparison sites, and public labor statistics, and reflect on how that compensation compares to expectations

7/9 – Performance, Compensation & Benefits, Workplace Realities

Compensation and Benefits

Speaker: HR Team

Why Compensation Matters

- Compensation is a central part of the employee experience, since people work in part to be fairly paid, even when they also enjoy the work itself
- Salary negotiation is common and expected; many employers anticipate that candidates will negotiate, and asking respectfully for more carries little downside, since the worst outcome is typically just a respectful no
- Job postings often list a wide salary range; during the interview process, it is helpful to align on a more specific expected number rather than relying only on the posted range
- Compensation includes far more than base salary; it also includes bonuses, commissions, benefits, perks such as stipends, and in some cases equity or stock

Understanding Health Insurance Options

- **HMO (Health Maintenance Organization)** – typically requires a referral from a primary care provider to see a specialist, and usually has lower monthly premiums; often a good fit for someone who visits the doctor infrequently
- **PPO (Preferred Provider Organization)** – allows a person to see a specialist directly without a referral, but typically has higher monthly premiums

- **HSA (Health Savings Account)** – can only be paired with a high-deductible PPO plan; allows a person to set aside money tax-free for medical expenses, and any unused funds typically carry over and can grow over time
- **FSA (Flexible Spending Account)** – can be paired with any health plan type; funds are typically front-loaded at the start of the year and repaid gradually through payroll deductions, and are generally used within the plan year
- Choosing between these plans depends on individual factors such as expected medical usage, since a lower-premium, higher-deductible plan may cost less overall for someone who rarely needs care, while a higher-premium plan may be more cost-effective for someone with regular medical needs
- Employer contributions toward an HSA or FSA can meaningfully offset the cost difference between plan types, so it is worth checking what a specific employer contributes before comparing plan costs directly

Retirement Plans and 401k Basics

- **Vesting schedule** – some companies require employees to stay for a certain number of years before employer retirement contributions become fully owned by the employee
- **Safe harbor plan** – this type of plan has no vesting schedule, meaning employer contributions are fully owned by the employee from the very first contribution
- A common employer match structure matches a percentage of employee contributions at different rates, such as matching the first portion of contributions at 100 percent and an additional portion at 50 percent, meaning an employee typically needs to contribute slightly more than the maximum matched percentage to receive the full available match
- Understanding a company's specific match structure is important, since contributing less than the full matched amount effectively leaves part of the available benefit unused

How Compensation Bands Are Set

- HR often uses compensation benchmarking tools to compare pay for a specific role against market data, factoring in variables such as location, company size, industry, required experience, and education level
- Market data is often shown as a percentile range, where the 25th and 75th percentiles represent the lower and upper bounds of a typical range, and the 50th percentile represents typical pay for a fully proficient employee in that role
- **Total cash** refers to the full cash compensation for a role, including base salary plus any bonus or commission, but excluding non-cash benefits
- When setting a pay range for a new posting, a company considers both market data and its own budget constraints for that specific position and level of experience required
- As an employee gains experience and receives merit increases over time, their pay typically moves further into their compensation range, which can support a smoother transition into a new range at the next promotion level

Behind the Scenes on Compensation and Benefits

- HR regularly benchmarks pay using market data tools to ensure compensation stays competitive and to support pay decisions presented to company leadership
- Retirement plans are typically audited on a yearly basis, often with support from an outside benefits partner who specializes in managing these requirements
- **Insurance renewal negotiations** – companies typically go through an annual process of collecting quotes from insurance carriers based on their employee population, then selecting the plans and premiums that best balance cost and coverage for the coming year

- **Compliance requirements** – includes required reporting under the Affordable Care Act (ACA), maintaining proper plan documentation, and posting required notices for employees
- **COBRA** – a federally required option that allows an employee to continue their existing health coverage for a period of time after leaving a company, though the employee typically pays the full cost of the plan rather than a subsidized portion
- Merit increase and bonus budgets are typically planned and finalized with the finance team well before individual employees are informed of any changes

Workplace Realities

Speaker: HR Team

Practical Advice for New Employees

- **Email tone is real** – especially in a remote environment, the tone of written communication matters, since it is often the only impression a colleague has of someone they have not met in person
- **It is okay to ask for help** – asking a clarifying question as a new employee is generally viewed far more positively than staying quiet and continuing to make avoidable mistakes
- **Gossip travels fast** – workplace gossip spreads quickly, just as it does in other environments, and is worth being mindful of
- **Digital footprint matters** – employers and recruiters often review a candidate's public social media presence, so it is worth reviewing and cleaning up any public profiles before applying for roles
- **Relationships matter** – building genuine relationships across a company can be valuable throughout a career, including for future references or opportunities

Employee Relations and Escalation

- Conversations with HR are generally kept confidential between the employee and HR, but if a situation is serious enough to require action, HR will typically inform the employee before escalating it further
- If an issue is escalated and formally investigated, the employee who raised it should expect a follow-up, such as an email outlining next steps or the outcome of that investigation
- Formal investigations typically involve documenting interviews, timelines, and any available evidence, and often involve consulting legal counsel, particularly for sensitive situations or before finalizing a termination
- Managers are also coached in real time on how to handle sensitive situations as they arise, which helps prevent similar issues from happening again
- Company policies are often updated in response to specific situations that have occurred, similar to how many laws are created in response to real events rather than purely in the abstract
- If an employee ever feels uncomfortable with a request from a manager or coworker, raising it with HR proactively can help protect the employee, since it ensures HR has full context if the situation is ever escalated from another direction

401k 101

Speaker: Rodney Kaufman, Retirement Plan Advisor

Why Retirement Plans Exist

- Decades ago, most retirement income came from a combination of Social Security and employer-funded pension plans, sometimes called defined benefit plans, which guaranteed a fixed payout

after a long career at one company

- Pension plans have become rare, and most people today are responsible for funding the majority of their own retirement, often through a workplace retirement plan such as a 401k
- People are also living significantly longer than in past generations, which makes personal retirement savings even more important, since retirement now often needs to last several decades

How a 401k Works

- A 401k is an investment account offered through an employer, where an employee can choose to have a percentage of each paycheck automatically invested in a selected set of professionally managed investment options
- **Employer match** – many companies match a portion of what an employee contributes, up to a certain percentage; a common structure matches a higher percentage on the first few percent contributed and a lower percentage on the next portion
- **Portability** – a 401k belongs to the employee, and the balance can typically be rolled over into a new employer's plan or into an individual retirement account (IRA) when changing jobs
- **Automatic enrollment** – some employer plans automatically enroll new employees at a set contribution percentage unless the employee opts out or changes it; other plans require the employee to actively choose to participate
- **Vesting schedule** – this refers to how much of the employer match an employee actually owns over time; some companies require a few years of employment before the match is fully owned, while other plans have no vesting schedule at all, meaning the match is fully owned immediately
- Money that an employee personally contributes to a 401k is always fully owned by the employee, regardless of any vesting schedule, which only applies to employer contributions

Pre-Tax (Traditional) vs. Roth Contributions

- **Pre-tax (traditional) contributions** – money is invested before taxes are taken out, which lowers taxable income now; taxes are paid later when the money is withdrawn in retirement
- **Roth contributions** – money is invested after taxes have already been paid; withdrawals in retirement, including investment growth, are not taxed
- Choosing between pre-tax and Roth contributions generally depends on comparing an individual's current tax rate to their expected tax rate in retirement, rather than one option being universally better
- Contributing pre-tax tends to make more sense for someone currently in a higher tax bracket, since it reduces taxable income during higher-earning years
- Contributing Roth tends to make more sense for someone currently in a lower tax bracket, such as earlier in a career, since it locks in a lower tax rate now rather than paying potentially higher taxes later
- It is also possible to split contributions between pre-tax and Roth options rather than choosing only one

The Power of Starting Early

- **The rule of 72** – dividing 72 by an expected annual rate of return gives a rough estimate of how many years it takes for an investment to double; for example, an 8 percent average return would roughly double an investment about every 9 years
- Starting to invest early allows more time for compounding growth, meaning even modest, consistent contributions early in a career can grow significantly more than larger contributions

started later

- Trying to time the stock market, meaning attempting to predict short-term ups and downs, is generally discouraged for long-term retirement savings; historically, staying invested through market downturns has produced stronger long-term outcomes than trying to move money in and out based on short-term market movements
- Selecting an appropriate mix of investments matters significantly; investments with little to no growth potential, such as cash, will not provide the same long-term growth as a diversified stock-based investment mix, even though stock-based investments carry more short-term volatility

Practical Considerations

- Contributing pre-tax reduces an employee's paycheck by less than the full contribution amount, since taxable income is also reduced at the same time
- There are annual limits on how much an employee can contribute to a 401k, which change periodically; very few people are able to contribute the maximum amount, especially earlier in their careers, and that is completely normal
- Withdrawing money from a 401k before retirement age generally comes with a penalty; taking a loan against a 401k is possible in many plans, but it comes with trade-offs, such as missing out on potential investment growth during the loan period
- The most consistent piece of advice for anyone early in their career is to contribute at least enough to receive the full available employer match, since this is essentially additional compensation that would otherwise be left unused

7/10 – Communications & Philanthropy

Communications I

Speaker: External Communications Coach

Answering Interview Questions Under Pressure

- Under pressure, candidates often either give a rehearsed answer that does not quite match the question asked, or ramble on until they hope they have covered everything; both approaches tend to come across poorly
- A strong approach is to listen carefully to the actual question being asked, answer it directly, and then stop talking; a tight, direct answer generally reads as confident, while a long, rambling answer can read as nervous
- Silence after a good answer is a natural pause for the interviewer, not a cue to keep adding more

Handling the Weakness or Failure Question

- A common but ineffective approach is to avoid the question entirely, such as claiming not to have a real weakness or offering a disguised strength as a weakness; this tends to come across as evasive and can hurt credibility
- A stronger approach follows three steps: acknowledge the real weakness or failure briefly and honestly, explain what action was taken in response, and close by connecting it to what was learned or how the person has grown since then
- A well-structured answer to a weakness or failure question can be delivered in under a minute and still feel complete and honest

The STAR Method

- **STAR** stands for Situation, Task, Action, and Result, and is a common framework for answering behavioral interview questions that start with phrases like "tell me about a time"
- The situation and task should be kept brief, often just one or two sentences, since interviewers are primarily interested in the action taken and the resulting outcome
- Common behavioral questions include describing a time someone worked on a team, led a project, handled conflict, faced a challenge, or experienced a failure
- Preparing a small set of go-to stories in advance, and being ready to adapt them to different question types, makes it much easier to respond confidently in the moment

The 60-Second "Tell Me About Yourself" Pitch

- This is one of the most commonly asked interview questions, and it is most effective when treated like a short highlight reel rather than a full life story
- An effective structure includes a brief introduction of who the person is, relevant experience or skills, and what they are looking for next, connected together in a natural, conversational way
- Practicing this response out loud, multiple times, in different settings, helps it sound natural rather than memorized or recited
- The goal is to relive the story naturally in the moment, rather than reciting it word for word as if reading a script
- When someone struggles to know exactly what an interviewer wants from this question, it is acceptable to briefly ask what specifically the interviewer would like to know, which can help focus the answer

Communications II

Speaker: External Communications Coach

Practicing Common Interview Questions

- Common interview questions practiced included why a candidate wants a specific role, why the company should hire them, what their strengths and weaknesses are, how they prioritize competing tasks, and where they see themselves in five years
- Strong answers tend to include a specific, concrete example rather than only a general statement, since specific evidence makes a claim more convincing and memorable
- When discussing weaknesses or areas of growth, the strongest answers acknowledge the issue honestly, describe a specific action taken to address it, and end on a forward-looking note
- When answering the "why should we hire you" question, connecting personal strengths to specific, concrete achievements or experiences helps a candidate stand out more than general statements that could apply to nearly any candidate

Practicing Through Mock Interviews

- Practicing interview questions out loud in pairs, with one person asking and one person answering, is an effective way to build comfort and natural delivery before a real interview
- Giving and receiving direct feedback after each practice round, including what worked well and what could be improved, helps refine responses quickly
- Repetition matters; practicing the same core stories and questions multiple times, in slightly different ways, builds comfort so that answers come across as natural rather than rehearsed

Philanthropy

Speaker: Sweet Peaks Foundation, Executive Director

What Foundations Are

- A **foundation** is an organization that funds social impact by giving grants to nonprofit organizations, often focused on specific issue areas, and funded by a family, a corporation, or a group of individuals
- This differs from a public charity, such as a nonprofit that directly runs programs and services in the community and typically has to fundraise its own operating money
- **Family foundation** – created and funded by a family
- **Community foundation** – supports a specific geographic area, often pooling donations from many individuals in that community
- **Corporate foundation** – funded by a company, often as part of its broader philanthropic or social responsibility efforts
- **Donor advised fund** – a charitable investment account that allows a person or family to contribute money tax-free and then direct it to nonprofits over time, without the administrative overhead of running a full foundation

Rules and Requirements for Foundations

- Foundations are required to give out a minimum percentage of their assets each year, based on fair market value, to prevent wealthy individuals from using a foundation simply to shelter money from taxes without actually distributing it
- Grants generally must go to organizations with official nonprofit tax-exempt status, with a few exceptions such as individual scholarships
- **Self-dealing rules** prohibit a foundation from paying money to businesses or individuals connected to the people overseeing the foundation, since this would effectively return foundation money back to insiders rather than to the public
- Once money is placed into a foundation, it is legally considered dedicated to public charitable use, rather than remaining the personal property of the family or individuals who created the foundation

How Foundations Give Money

- **Unrestricted or general operating grants** – funds given to a nonprofit to use broadly for its ongoing operations, such as staff salaries and general costs, rather than being tied to a specific program
- **Program-specific grants** – funds designated for a particular program or initiative run by the nonprofit
- **Capital campaign grants** – funds designated for a specific capital project, such as purchasing or constructing a building
- **Capacity-building grants** – funds used to strengthen a nonprofit's internal capabilities, such as staff training, leadership coaching, or strategic planning support
- The amount a foundation typically gives per grant scales with its overall size, with smaller foundations often giving smaller grant amounts and larger foundations giving significantly larger grants

The Grant Application and Review Process

- Nonprofits seeking funding typically submit an application that outlines their mission, programs, goals, impact measurement approach, and financial information, along with the specific amount being requested
- Foundation staff and leadership review applications to assess whether the organization's mission and programs align with the foundation's own focus areas and values
- A site visit is a common step before finalizing a grant, allowing foundation staff to confirm

that an organization's actual programs match what was described in its application

- Once approved, a formal grant agreement is signed, and the receiving nonprofit is typically required to report back on how the funds were used, often through a written report and updated financial information

Current Trends in Philanthropy

- Many nonprofits rely on a mix of foundation grants, individual donations, and government grants to fund their programs
- Government grants can be highly competitive and require significant paperwork, and reductions or cancellations of government funding can create serious financial strain for nonprofits that were relying on that funding
- A number of nonprofits are currently facing financial difficulty or closure due to funding gaps, which can have a ripple effect on the communities that rely on their services
- Foundations sometimes step in to help fill funding gaps when a nonprofit partner loses other sources of funding, though foundations cannot fully replace lost government funding at scale